SignalRx · autonomous research agent · Track D: Pharma & Healthcare

run 2026-10-16 15:23 UTC | mode: replay | evidence as of 2026-10-16

Dr. Reddy's Laboratories (DRREDDY)

archetype: formulations | brief question D1: Has its business model quietly changed, and when?

● Evidence strength: Strong | 28 citations · 13 source families | verifier: passed (38 numbers traced)

THE DISCOVERY

Semaglutide, not lenalidomide, is now the swing factor, and it is fragile

Dr. Reddy's Laboratories has already stopped being a North America-led business — North America fell from a 44.9% peak (FY25) to 27.4% of revenue in Q1FY27, below even its FY21 share of 37.8%, while the rest of the business grew 23.5% in FY26 — which makes semaglutide, not lenalidomide, the swing factor, and semaglutide has slipped twice in 8 months, ending in a ₹240 cr write-down (54% of Q1FY27 net profit) and a ~46% cut to the FY27 plan (12 → 6-7 mn pens).

Backed by: E01 E04 E05 E06 E07 E08 E09 E12 E15 E17 E18 E19 E20 E23

NUMBERS THAT SUBSTANTIATE IT

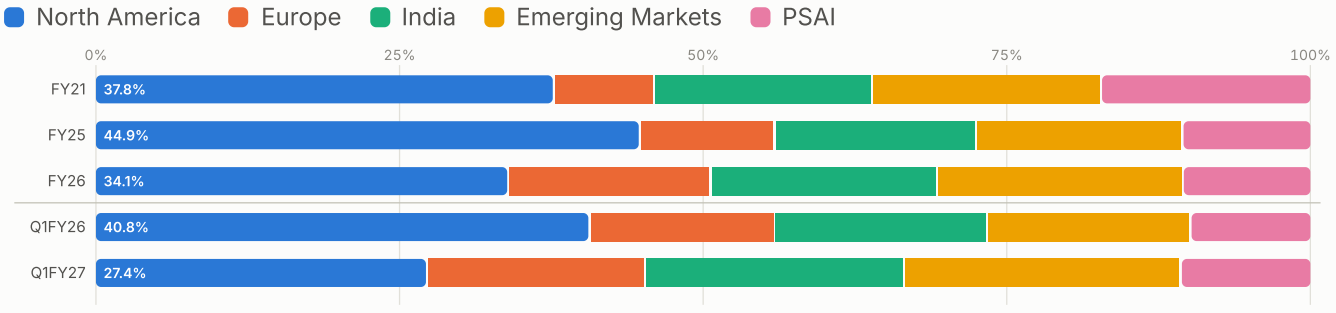
North America share of revenue
27.4%
Q1FY27; peak 44.9% in FY25

Growth ex-North America
+23.5%
FY26 vs North America -21.7%

Semaglutide write-down
₹240 cr
54% of Q1FY27 net profit

FY27 Semaglutide plan
12 → 6-7
mn pens (~46% cut, midpoint)

Revenue mix by segment: North America share, annual then quarterly



WHY IT MATTERS

- The lenalidomide cliff is already in the numbers: at 27.4% of revenue, North America is below its FY21 level, so the debate should move from 'how big is the cliff' to 'what replaces it'.
- Growth outside North America is broad (Europe +55%, India +16%, Emerging Markets +23%, PSAI +3%, FY26). Part of it was acquired (Agrees to buy Haleon's non-US NRT brands (Nicotinell) for GBP 500m).
- Semaglutide is the largest new organic lever, and its setbacks came from different failure points: 30 Oct 2025 (Health Canada): Health Canada notice of non-compliance on semaglutide submission; 9 Jul 2026 (company): Reg-30 filing: semaglutide batches out of specification (API issue).
- Its supply chain runs through an external partner (OneSource Specialty Pharma, finished-dose (pen) contract manufacturer; API in-house): a dependency that shows up in partner and press disclosures, not in the segment table.
- Sensitivity: the Q1FY27 provision (₹240 cr) equals 54% of that quarter's net profit; the plan cut removes about 5.5 mn pens of supply (midpoint).

STRONGEST COUNTERARGUMENT

Growth outside North America is broad (Europe +55%, India +16%, Emerging Markets +23%, PSAI +3%, FY26). So semaglutide is the swing factor for the next year, not the whole replacement: the finding is reframed accordingly. Also: Management has a dated fix: 'Targeted resumption of commercial semaglutide supply' (Nov 2026). Management's position: "Underlying base business delivered healthy double-digit growth across all key geographies." "Fix is process remediation; no regulatory re-approval needed."

E11 E21 E22 E24

FALSIFICATION CONDITIONS

1. Commercial semaglutide supply resumes by Nov 2026 as guided and 6-7 mn pens are delivered in FY27; that would show the setbacks were a one-time scale-up problem, not structural fragility.
   Watch: exchange filings / quarterly results mentioning semaglutide E12 E21
2. No further regulatory or quality incident on semaglutide over the next two quarters.
   Watch: regulator databases and Reg-30 filings
3. North America share rises for two consecutive quarters on new launches (not one-offs), which would make North America — not semaglutide — the swing factor again.
   Watch: quarterly segment table

TIMELINE: WHEN THE STORY CHANGED

7 Sep 2022 LAUNCH

US launch of generic lenalidomide (volume-limited); licensed for unlimited volume from 31-Jan-2026 E27

Jun 2024 ACQUISITION

Agrees to buy Haleon's non-US NRT brands (Nicotinell) for GBP 500m; CY23 revenue ~GBP 217m E25 E31

23 Jul 2025 RESULTS

Q1 FY26: North America -11% on lenalidomide price erosion; Europe +142% on acquired NRT portfolio E06

30 Oct 2025 REGULATORY HEALTH CANADA

Health Canada notice of non-compliance on semaglutide submission; analysts see 8-12 month delay E15

31 Jan 2026 LOE

US lenalidomide volume limits end: unlimited generic entry E27

28 Apr 2026 REGULATORY HEALTH CANADA

Health Canada Notice of Compliance for generic semaglutide; finished product made with OneSource E16 E17 E18

12 May 2026 MEDIA BUSINESSTODAY

Press frames the pivot: 'After lenalidomide, turns to obesity drugs, biosimilars and consumer health' E26

May 2026 RESULTS

Q4 FY26: North America -51% to Rs 17,562m (lenalidomide + one-time shelf-stock adjustment); FY26 NA -22% E02 E03

9 Jul 2026 DISCLOSURE

Reg-30 filing: semaglutide batches out of specification (API issue); supplies delayed, no end date E19 E20

22 Jul 2026 RESULTS

Q1 FY27: Rs 2,397m semaglutide provision; NA -35%; FY27 pen plan cut 12M → 6-7M E07 E08 E09 E12

Nov 2026 GUIDANCE

Targeted resumption of commercial semaglutide supply E12 E21

EVIDENCE STRENGTH: STRONG

- 13 sources across 6 independent families (company, counterparty:onesource specialty pharma, media:business standard, media:indian pharma post, media:investing.com, media:value research).
- 6 primary documents (company filings / exchange filings / regulator).
- Third-party record (regulator / counterparty) present: Business Standard (OneSource disclosure).
- Skeptic: 3 checks survived, 2 weakened (temporary, breadth), 0 refuted.
- 12 input figure(s) are back-computed from reported growth rates (tolerance bands kept).

RANKING SCORES



Novelty: joins 5 non-company source families to the company's own disclosures; a third-party record leads the company's own disclosure by 197 days; links 2 separately reported incidents into one pattern; rests on 10 derived calculations no single source states.

SKEPTIC: ALTERNATIVE EXPLANATIONS TESTED

Test	Question	Verdict	Result
sector_wide	Is this a sector story? Do peers show the same move in the same period?	survives	North America Q1FY27: company -35.4% vs Sun Pharma -9.7%, Cipla -28.0%. The decline itself is partly a sector-wide cliff, but the hypothesis rests on incidents tied to the company's own product / partner, which peers do not share. E29 E30
one_off	Is the driver labelled one-time (shelf-stock adjustment, provision, settlement) so it reverses next year?	survives	Adding back the ₹450 cr one-time item lifts North America's FY26 share only to 34.9% (vs 44.9% at the peak): the shift is 10.0pp even after the one-off. E02
temporary	Has management given a dated remediation / resupply plan that would reverse the effect?	weakens	Management has a dated fix: 'Targeted resumption of commercial semaglutide supply' (Nov 2026). If it lands on time, the financial drag fades; this becomes a falsification test. E12 E21 E21 E24
already_mainstream	Would a reader of headlines already know this? (novelty test)	survives	None of 4 headlines in the ledger connects these facts (semaglutide, setback, replacement). E20 E26 E32 E26
breadth	Is the replacement actually broad-based rather than concentrated in one product?	weakens	Growth outside North America is broad (Europe +55%, India +16%, Emerging Markets +23%, PSAI +3%, FY26). So semaglutide is the swing factor for the next year, not the whole replacement: the finding is reframed accordingly.

EVIDENCE TRAIL (28 PASSAGES, 13 INDEPENDENT FAMILIES)

E04 supports company filing Dr. Reddy's 2021-05 company

"FY21 quarterly segment tables (Rs million) Q1-Q4: North America 17,282 + 18,328 + 17,394 + 17,491; Europe 3,551 + 3,754 + 4,143 + 3,956; India 6,260 + 9,123 + 9,591 + 8,445; Emerging Markets 7,982 + 8,636 + 9,623 + 8,845; PSAI 8,553 + 8,505 + 7,009 + 7,915. North America generics business reached Rs. 70.5 billion for the year, up 9% YoY."

Earnings release Q4 FY21

E05 supports company filing Business Wire 2025-05-09 company

"North America: FY25 revenues at Rs 145.2 billion, YoY growth of 12%. The YoY growth was primarily driven by new product launches, increased volumes of select key products, partially offset by price erosion."

Dr. Reddy's Q4 & Full Year FY25 Financial Results

E06 supports company filing Business Wire 2025-07-23 company

“Revenues 85,452 Mn [Up: 11% YoY; Flat QoQ]. North America 34,123 for Q1FY26, against 38,462 a year earlier ... decline primarily due to increased price erosion in certain key products including Lenalidomide. Europe Rs 12,744 million vs Rs 5,265 million, up 142%, primarily driven by contributions from the acquired NRT portfolio.”

Dr. Reddy's Q1FY26 Financial Results

E01 supports company filing SEC EDGAR (Form 6-K) 2026-05 company

“FY26 Global Generics by region (Rs million): North America 113,737 (down 22%); Emerging Markets 67,608 (up 23%); India 62,186 (up 16%); Europe 55,501 (up 55%). PSAI 34,774 (up 3%). Revenue Rs 335.9 billion, up 3.2%.”

Dr. Reddy's Q4 & Full Year FY26 Financial Results (6-K Ex 99.2)

E19 supports exchange filing SEC EDGAR (Form 6-K, Reg 30 intimation) 2026-07-09 company

“Certain batches of semaglutide were found to be out of specification due to an issue associated with the API ... the company is investigating the root cause ... commercial supplies of the product will be delayed for a certain period of time. The issue has no impact on patient safety and does not affect the product's existing global regulatory filings.”

Intimation to NSE/BSE/NYSE: semaglutide supply delay (6-K Ex 99.1)

E07 supports company filing SEC EDGAR (Form 6-K) 2026-07-22 company

“Q1 FY27 (quarter ended 30 June 2026): revenue Rs 80,705 million, down 5.6% YoY. Emerging Markets Rs 18,328 million (up 31%); India Rs 17,177 million (up 17%); Europe Rs 14,440 million (up 13%); PSAI about Rs 852 crore (up about 4%).”

Dr. Reddy's Q1 FY27 results (6-K Ex 99.2)

E08 supports company filing SEC EDGAR (Form 6-K) 2026-07-22 company

“A provision of Rs.2,397 million towards inventory and other associated costs, as certain batches of semaglutide were found to be out of specification due to an issue associated with the API.”

Dr. Reddy's Q1 FY27 results (6-K Ex 99.2)

E18 supports counterparty Business Standard (OneSource disclosure) 2026-04-29

counterparty:onesource specialty pharma

“OneSource said its partner Dr. Reddy's received Health Canada authorization for a generic semaglutide injection; OneSource acts as the contract manufacturer, handling scale-up and commercial production at its US FDA-approved facility in Bengaluru.”

OneSource's partner Dr. Reddy's receives Health Canada approval for Semaglutide Injection

E15 supports media Business Standard 2025-10-30 media:business standard

“Health Canada's Pharmaceutical Drugs Directorate issued a notice of non-compliance on the company's abbreviated new drug submission for semaglutide; analysts estimated a delay of at least eight to 12 months; the stock fell more than 4%.”

Canada notice may delay Dr Reddy's semaglutide generic launch

E17 supports media Indian Pharma Post 2026-04-29 media:indian pharma post

“The active ingredient is made entirely in-house, while the finished product is currently manufactured in collaboration with OneSource.”

OneSource Pharma, Dr Reddy's secure Health Canada nod for generic Semaglutide

E23 supports media Value Research 2026 media:value research

“Dr. Reddy's is described as OneSource's anchor customer.”

OneSource Specialty Pharma stock: what the FY28 bet rests on

E20 supports media Investing.com 2026-07-09 media:investing.com

“Dr Reddy's delays semaglutide supply due to API issue; shares slide. NSE-listed shares dropped as much as 6.5% to 1,261.10 rupees.”

Dr Reddy's delays semaglutide supply due to API issue; shares slide

E12 supports media Investing.com 2026-07-22 media:investing.com

“The FY27 supply target was cut to 6-7 million pens from 12 million; API testing completion targeted by the third week of September 2026 and commercial supply resumption in November; management put the probability of delivering 6-7 million pens between November and March at 80-90%.”

Dr. Reddy's Q1 FY27 slides show base growth amid semaglutide hit

E09 supports media Business Standard 2026-07-23 media:business standard

“Revenue from the North America business fell 35.38% YoY to Rs 2,204.8 crore, mainly due to lower sales of Lenalidomide. Net profit plunged 69% YoY to Rs 444 crore.”

Dr Reddys Labs slides after Q1 PAT plunges 69% YoY to Rs 444 crore

E11 opposes media Investing.com 2026-07-22 media:investing.com

“Management called the quarter an expected transition away from lenalidomide revenue ... Its underlying base business continued to deliver healthy double-digit growth across all key geographies.”

Dr. Reddy's Q1 FY27 slides show base growth amid semaglutide hit

E21 opposes aggregator Sahi 2026-07 aggregator:sahi

“The fix is process remediation and does not require regulatory re-approvals; API supply to OneSource to resume by October 2026.”

Dr. Reddy's Expects Strong Q3 And Q4 Performance After Fixing Semaglutide Problems

E22 opposes blog Substack (G. Aiyappa) 2026-07 blog:substack (g. aiyappa)

“An out-of-specification degradation impurity appeared during scale-up; the API itself met specifications and the impurity formed in the finished formulation.”

Semaglutide Update - Dr. Reddy's Laboratories

E24 opposes blog Substack (R. Vaidyanathan) 2026-08 `blog:substack (r. vaidyanathan)`

“Management indicated that demand from other customers and markets was sufficient to absorb the available capacity.”

OneSource Specialty Pharma: Q1FY27 May Have Been the Proof of Concept

E02 context company filing SEC EDGAR (Form 6-K) 2026-05 `company`

“Q4 FY26: consolidated revenue Rs 75,162 million, down 11.6% YoY. North America fell 51% to Rs 17,562 million; Emerging Markets up 29%, India up 20%, Europe up 14%. Excluding the Rs 4.5 billion shelf stock adjustment, FY26 revenue about Rs 340.5 billion.”

Dr. Reddy's Q4 & Full Year FY26 Financial Results (6-K Ex 99.2)

E03 context company filing SEC EDGAR (Form 6-K) 2026-05 `company`

“North America ... declined 22% for the full year ... largely due to lower Lenalidomide sales and a one-time shelf stock adjustment related to the product.”

Dr. Reddy's Q4 & Full Year FY26 Financial Results (6-K Ex 99.2)

E16 context company filing SEC EDGAR (Form 6-K) 2026-05 `company`

“Dr. Reddy's announced the launch of its generic semaglutide injection in Canada following a Notice of Compliance from Health Canada dated April 28, 2026.”

Dr. Reddy's press release: generic semaglutide launch in Canada (6-K Ex 99.1)

E25 context media Chain Drug Review 2024-06 `media:chain drug review`

“Dr. Reddy's agreed to buy Haleon's non-US NRT brands, including Nicotinell, through a Swiss holding company, Northstar Switzerland SARL, for GBP 500 million (GBP 458 million upfront, up to GBP 42 million performance-based).”

Dr. Reddy's to acquire Nicotinell from Haleon

E26 context media BusinessToday 2026-05-12 `media:businesstoday`

“After Lenalidomide, Dr Reddy's turns to obesity drugs, biosimilars and consumer health.”

After Lenalidomide, Dr Reddy's turns to obesity drugs, biosimilars and consumer health

E27 context company filing Business Wire 2022-09-07 `company`

“Dr. Reddy's is also licensed to sell generic lenalidomide capsules in the U.S. without volume limitation beginning on January 31, 2026.”

Dr. Reddy's announces the launch of Lenalidomide Capsules in the U.S.

E29 context media Upstox 2026-07-31 `media:upstox`

“Sun Pharma US formulation sales fell 9.7% to $427 million in Q1 FY27.”

Sun Pharmaceutical Q1 FY27 result: US formulation sales decline to $427 million

E30 context media Business Standard 2026-07-23 media:business standard

“Cipla North America business was down 28 per cent year over year in Q1 FY27.”

Cipla's Q1 net falls 39% on US business; maintains FY27 margin guidance

E31 context media Venture Intelligence 2024-06 media:venture intelligence

“The acquired NRT portfolio generated about GBP 217 million in revenue in CY23.”

Dr. Reddy's to acquire nicotine replacement brands from UK-based Haleon for $632 m

E32 context media Business Standard 2026-07-23 media:business standard

“Dr Reddys Labs slides after Q1 PAT plunges 69% YoY to Rs 444 crore.”

Dr Reddys Labs slides after Q1 PAT plunges 69% YoY to Rs 444 crore

CALCULATIONS (EVERY DERIVED NUMBER, WITH INPUTS)

#	Metric	Value	Formula	Inputs	Evidence
C2	North America share of revenue, FY21	37.8 %	North America / sum(segments) x 100	revenue_segment[Emerging Markets]@FY21, revenue_segment[Europe]@FY21, revenue_segment[India]@FY21, revenue_segment[North America]@FY21, revenue_segment[PSAI]@FY21	E04
C7	North America share of revenue, FY25	44.9 %	North America / sum(segments) x 100	revenue_segment[Emerging Markets]@FY25, revenue_segment[Europe]@FY25, revenue_segment[India]@FY25, revenue_segment[North America]@FY25, revenue_segment[PSAI]@FY25	E01 E05
C12	North America share of revenue, FY26	34.1 %	North America / sum(segments) x 100	revenue_segment[Emerging Markets]@FY26, revenue_segment[Europe]@FY26, revenue_segment[India]@FY26, revenue_segment[North America]@FY26, revenue_segment[PSAI]@FY26	E01
C17	North America share of revenue, Q1FY26	40.8 %	North America / sum(segments) x 100	revenue_segment[Emerging Markets]@Q1FY26, revenue_segment[Europe]@Q1FY26, revenue_segment[India]@Q1FY26, revenue_segment[North America]@Q1FY26, revenue_segment[PSAI]@Q1FY26	E06 E07
C22	North America share of revenue, Q1FY27	27.4 %	North America / sum(segments) x 100	revenue_segment[Emerging Markets]@Q1FY27, revenue_segment[Europe]@Q1FY27, revenue_segment[India]@Q1FY27, revenue_segment[North America]@Q1FY27, revenue_segment[PSAI]@Q1FY27	E07 E09
C38	semaglutide provision as % of net profit, Q1FY27	54.0 %	provision / net profit x 100	provision[semaglutide]@Q1FY27, net_profit[]@Q1FY27	E08 E09
C39	Cut to semaglutide FY27 plan	-45.8 %	after / before - 1	guidance_semaglutide_pens[after]@FY27, guidance_semaglutide_pens[before]@FY27	E12
C40	Revenue growth excluding North America, FY26	23.5 %	sum(other segments t) / sum(other segments t-1) - 1	revenue_segment[Europe]@FY26, revenue_segment[India]@FY26, revenue_segment[Emerging Markets]@FY26, revenue_segment[PSAI]@FY26, revenue_segment[Europe]@FY25, revenue_segment[India]@FY25, revenue_segment[Emerging Markets]@FY25, revenue_segment[PSAI]@FY25	E01

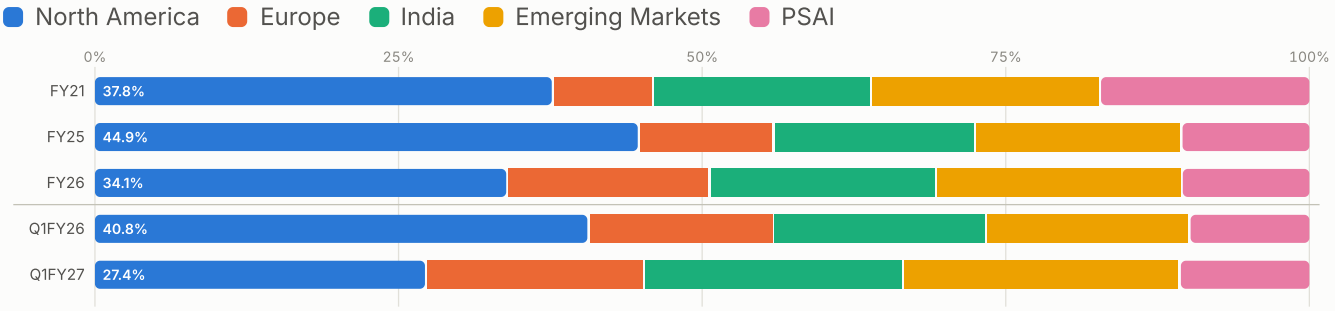
#	Metric	Value	Formula	Inputs	Evidence
C41	North America revenue growth, FY26	-21.7 %	t / t-1 - 1	revenue_segment[North America]@FY26, revenue_segment[North America]@FY25	E01 E05
C43	North America share FY26 with one-off added back	34.9 %	(segment + one-off) / (total + one-off) x 100	revenue_segment[North America]@FY26, revenue_segment[Europe]@FY26, revenue_segment[India]@FY26, revenue_segment[Emerging Markets]@FY26, revenue_segment[PSAI]@FY26, one_off_adjustment[North America]@FY26	E01 E02

SECONDARY DISCOVERY

Revenue centre of gravity has moved away from North America Moderate

North America went from 37.8% of segment revenue in FY21 to 44.9% in FY25 and 34.1% in FY26 (27.4% in Q1FY27); Europe 8%→17% took its place.

Revenue mix by segment: North America share, annual then quarterly



WHY IT MATTERS

- Geographic concentration drives sensitivity to US price erosion and product cliffs.
- Growth outside North America was 23.5% in FY26.

COUNTERARGUMENT

North America Q1FY27: company -35.4% vs Sun Pharma -9.7%, Cipla -28.0%. Peers show a comparable decline, so part of the move is sector-wide. Also: Part of the gain is bought, not built: Agrees to buy Haleon's non-US NRT brands (Nicotinell) for GBP 500m; CY23 revenue ~GBP 217m..

FALSIFICATION

1. North America share rises again for two consecutive quarters.

E04 supports Dr. Reddy's 2021-05

"FY21 quarterly segment tables (Rs million) Q1-Q4: North America 17,282 + 18,328 + 17,394 + 17,491; Europe 3,551 + 3,754 + 4,143 + 3,956; India 6,260 + 9,123 + 9,591 + 8,445; Emerging Markets 7,982 + 8,636 + 9,623 + 8,845; PSAI 8,553 + 8,505 + 7,009 + 7,915. North America generics business reached Rs. 70.5 billion for the year, up 9% YoY."

Earnings release Q4 FY21

E05 supports Business Wire 2025-05-09

"North America: FY25 revenues at Rs 145.2 billion, YoY growth of 12%. The YoY growth was primarily driven by new product launches, increased volumes of select key products, partially offset by price erosion."

Dr. Reddy's Q4 & Full Year FY25 Financial Results

E06 supports Business Wire 2025-07-23

"Revenues 85,452 Mn [Up: 11% YoY; Flat QoQ]. North America 34,123 for Q1FY26, against 38,462 a year earlier ... decline primarily due to increased price erosion in certain key products including Lenalidomide. Europe Rs 12,744 million vs Rs 5,265 million, up 142%, primarily driven by contributions from the acquired NRT portfolio."

Dr. Reddy's Q1FY26 Financial Results

E01 supports SEC EDGAR (Form 6-K) 2026-05

"FY26 Global Generics by region (Rs million): North America 113,737 (down 22%); Emerging Markets 67,608 (up 23%); India 62,186 (up 16%); Europe 55,501 (up 55%). PSAI 34,774 (up 3%). Revenue Rs 335.9 billion, up 3.2%."

Dr. Reddy's Q4 & Full Year FY26 Financial Results (6-K Ex 99.2)

E07 supports SEC EDGAR (Form 6-K) 2026-07-22

"Q1 FY27 (quarter ended 30 June 2026): revenue Rs 80,705 million, down 5.6% YoY. Emerging Markets Rs 18,328 million (up 31%); India Rs 17,177 million (up 17%); Europe Rs 14,440 million (up 13%); PSAI about Rs 852 crore (up about 4%)."

Dr. Reddy's Q1 FY27 results (6-K Ex 99.2)

E09 supports Business Standard 2026-07-23

"Revenue from the North America business fell 35.38% YoY to Rs 2,204.8 crore, mainly due to lower sales of Lenalidomide. Net profit plunged 69% YoY to Rs 444 crore."

Dr Reddys Labs slides after Q1 PAT plunges 69% YoY to Rs 444 crore

E25 opposes Chain Drug Review 2024-06

"Dr. Reddy's agreed to buy Haleon's non-US NRT brands, including Nicotinell, through a Swiss holding company, Northstar Switzerland SARL, for GBP 500 million (GBP 458 million upfront, up to GBP 42 million performance-based)."

Dr. Reddy's to acquire Nicotinell from Haleon

E31 opposes Venture Intelligence 2024-06

"The acquired NRT portfolio generated about GBP 217 million in revenue in CY23."

Dr. Reddy's to acquire nicotine replacement brands from UK-based Haleon for $632 m

E30 opposes Business Standard 2026-07-23

"Cipla North America business was down 28 per cent year over year in Q1 FY27."

Cipla's Q1 net falls 39% on US business; maintains FY27 margin guidance

E29 opposes Upstox 2026-07-31

"Sun Pharma US formulation sales fell 9.7% to $427 million in Q1 FY27."

Sun Pharmaceutical Q1 FY27 result: US formulation sales decline to $427 million

E02 context SEC EDGAR (Form 6-K) 2026-05

"Q4 FY26: consolidated revenue Rs 75,162 million, down 11.6% YoY. North America fell 51% to Rs 17,562 million; Emerging Markets up 29%, India up 20%, Europe up 14%. Excluding the Rs 4.5 billion shelf stock adjustment, FY26 revenue about Rs 340.5 billion."

Dr. Reddy's Q4 & Full Year FY26 Financial Results (6-K Ex 99.2)

E03 context SEC EDGAR (Form 6-K) 2026-05

“North America … declined 22% for the full year … largely due to lower Lenalidomide sales and a one-time shelf stock adjustment related to the product.”

Dr. Reddy's Q4 & Full Year FY26 Financial Results (6-K Ex 99.2)

E08 context SEC EDGAR (Form 6-K) 2026-07-22

“A provision of Rs.2,397 million towards inventory and other associated costs, as certain batches of semaglutide were found to be out of specification due to an issue associated with the API.”

Dr. Reddy's Q1 FY27 results (6-K Ex 99.2)

E12 context Investing.com 2026-07-22

“The FY27 supply target was cut to 6-7 million pens from 12 million; API testing completion targeted by the third week of September 2026 and commercial supply resumption in November; management put the probability of delivering 6-7 million pens between November and March at 80-90%.”

Dr. Reddy's Q1 FY27 slides show base growth amid semaglutide hit

E20 context Investing.com 2026-07-09

“Dr Reddy's delays semaglutide supply due to API issue; shares slide. NSE-listed shares dropped as much as 6.5% to 1,261.10 rupees.”

Dr Reddy's delays semaglutide supply due to API issue; shares slide

E26 context BusinessToday 2026-05-12

“After Lenalidomide, Dr Reddy's turns to obesity drugs, biosimilars and consumer health.”

After Lenalidomide, Dr Reddy's turns to obesity drugs, biosimilars and consumer health

E27 context Business Wire 2022-09-07

“Dr. Reddy's is also licensed to sell generic lenalidomide capsules in the U.S. without volume limitation beginning on January 31, 2026.”

Dr. Reddy's announces the launch of Lenalidomide Capsules in the U.S.

E32 context Business Standard 2026-07-23

“Dr Reddys Labs slides after Q1 PAT plunges 69% YoY to Rs 444 crore.”

Dr Reddys Labs slides after Q1 PAT plunges 69% YoY to Rs 444 crore

HYPOTHESIS BOARD: EVERYTHING THE AGENT TESTED

ID	Angle	Status	Hypothesis	Total	Grade
H3	replacement_concentration	selected	As lenalidomide fades, North America fell from 44.9% of revenue (FY25) to 34.1% (FY26) and 27.4% in Q1FY27; the lead replacement, semaglutide, has hit 2 setbacks in 8 months (30 Oct 2025: Health Canada notice of non-compliance on semaglutide submission; 9 Jul 2026: Reg-30 filing: semaglutide batches out of specification (API issue)).	0.94	Strong
H1	geo_mix_shift	supporting	North America went from 37.8% of segment revenue in FY21 to 44.9% in FY25 and 34.1% in FY26 (27.4% in Q1FY27); Europe 8%→17% took its place.	0.56	Moderate
—	counterparty_regulatory	planned · no hypothesis	evidence did not support this angle		
—	own_site_regulatory	planned · no hypothesis	no deterministic template; LLM mode only		
—	specialty_pivot	planned · no hypothesis	no deterministic template; LLM mode only		
—	working_capital_divergence	planned · no hypothesis	no deterministic template; LLM mode only		

QUANTITATIVE SCAN (WHAT MOVED)

- `mix_shift`: North America share moved 37.8% (FY21) → 44.9% (FY25) → 34.1% (FY26) [A, INR_mn]
- `mix_shift`: Europe share moved 8.3% (FY21) → 8.3% (FY21) → 16.6% (FY26) [A, INR_mn]
- `mix_shift`: North America share moved 40.8% (Q1FY26) → 40.8% (Q1FY26) → 27.4% (Q1FY27) [Q, INR_mn]
- `segment_drop`: North America revenue -21.7% YoY in FY26 (145,200 → 113,737 INR_mn)
- `segment_drop`: North America revenue -35.4% YoY in Q1FY27 (34,123 → 22,048 INR_mn)

RESEARCH PLAN (ANGLES CHOSEN)

- **geo_mix_shift** [D3] priority 1.0
  How has geographic revenue exposure shifted over five years, and what drove it (organic vs acquired, one product vs portfolio)?
- **replacement_concentration** [D1] priority 0.88
  When a big product or market fades, is the business replacing it with something as concentrated or fragile as what it lost?
- **counterparty_regulatory** [D2] priority 0.76
  Did a regulatory action at a plant the company does NOT own (contract manufacturer, licensor, API supplier) hit its revenue before the company or the press explained it?
- **own_site_regulatory** [D2] priority 0.7
  Is an FDA/EU action at the company's own plants (OAI, warning letter, import alert) suppressing approvals or US revenue in a way the filings show before coverage does?
- **specialty_pivot** [D1] priority 0.7
  Has the mix quietly moved from generics to specialty/innovative, CDMO or domestic formulations, and when did the crossover happen?
- **working_capital_divergence** [X] priority 0.4
  Do receivable / inventory trends tell a different story from revenue growth?

AUDIT LOG: SOURCE CONFLICTS AND DROPPED REPORTS

- Dropped Investing.com's revenue growth yoy Q1FY27 of +6.0%: recomputed from filed levels it is -5.6% (80,705 vs 85,452)
- Dropped Investing.com's revenue segment growth yoy Q1FY27['North America'] of +35.0%: recomputed from filed levels it is -35.4% (22,048 vs 34,123)

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